

EXECUTIVE SUMMARY

Zambia Macroeconomic Analysis (2015–2025).
Was Zambia's post-2020 economic recovery driven by the copper price Supercycle, the 2023 debt restructuring deal, or both - and which mattered more?
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GDP Growth 2023 5.4% ↑ from -2.8% in 2020	Ext Debt 2023 \$29.1B 111% of GNI	PPG Debt Svc/Exports 3.02% ↓ from 12.5% (2019)	Inflation 2023 10.9% Above 6–8% target
2015–19 Debt spiral	Nov 2020 COVID default	2021–22 Copper boom + IMF deal	Nov 2023–24 Restructuring finalised

1. OVERVIEW

This report evaluates Zambia's macro-fiscal transition, focusing on the impact of debt restructuring on investor confidence and trade resilience. A decade of data (2015–2025) was analysed across monetary indicators, external trade, and industrial composition to project the recovery outlook for the 2026 fiscal year.

Core finding: Neither copper nor debt restructuring alone explains the recovery. Copper created the fiscal breathing room (2020–22); debt restructuring converted that into a durable institutional framework.

2. KEY INSIGHTS & ANALYSIS

- Debt Trajectory:** Total external debt peaked near \$29.5B in 2021 and has begun a downward consolidation toward \$23.4B as of December 2025, reflecting the impact of the G20 Common Framework restructuring agreement.
- Investor Confidence - FDI Surge:** FDI net inflows surged to a decade-high 9.32% of GDP in 2024, in the same year as the finalisation of debt restructuring agreements. This is the clearest evidence that fiscal clarity not just commodity luck, is the primary driver of investor confidence.
- Copper as the Opportunity Window:** A strong positive correlation exists between global copper prices and GDP expansion. As global copper prices approached \$10K/MT and production reached 0.89M tonnes in 2025, the current account shifted from a deep deficit (-3.6% in 2015) to near balance (-0.6% in 2024), providing liquidity for post-restructuring stability.
- GDP Composition:** Industrial Value Added remains the primary economic driver at 33.58% of GDP, while Natural Resource Rents contribute 14.78%. Agriculture, Forestry, and Fishing contribute only 5.54% - a significant opportunity gap given Zambia's arable land endowment.
- Monetary Conditions:** Inflation successfully decelerated to 7.50% as of March 2026, reaching the lower bound of the Bank of Zambia's 6–8% target band. The Policy Rate stands at 14.25%, and a gradual reduction is warranted if inflation remains anchored.
- COVID-19 Impact (2020):** GDP contracted to -2.79% in 2020 due to pandemic lockdowns and the subsequent Eurobond default, which caused investor confidence to deteriorate, evidenced by FDI declining to its trough of -0.22% of GDP in 2022.

- **Drought Impact (2024):** Growth moderated in 2024 as Zambia battled its worst drought in decades, suppressing agricultural output and food security. This underscores the structural vulnerability of an economy with minimal agricultural diversification.

3. DEBT RESTRUCTURING -WHAT THE DATA SHOWS

Case: Copper front-loaded the recovery

- Current account swung from -3.6% to +11.9% of GDP (2015-2021), matching the copper price rally
- Mineral rents jumped from 3% to 35% of GDP in 2020-21
- Export revenues rose from \$6.5B to \$11.7B almost entirely from ores & metals
- Forex reserves recovered before restructuring was complete
- GDP growth of 6.2% in 2021 preceded the formal restructuring deal by 2 years

Case: Restructuring locked in sustainability

- Interest payments fell from 44% to 27% of revenue (2019-2021) after IMF deal
- PPG debt service fell from 12.5% to 3% of exports post-deal
- GDP growth of 5.2–5.4% persisted in 2022-23 as copper prices cooled -structural reform is supporting growth
- FDI surged to 9.32% of GDP in 2024 - a forward-looking confidence signal
- Reserves stabilised at ~3 months of imports -structural improvement

Verdict: Both factors were necessary and neither was sufficient alone. Copper created the opportunity window; debt restructuring converted it into a durable institutional framework.

4. STRATEGIC RECOMMENDATIONS

01 Diversify Exports Beyond Copper

Support policies that scale non-traditional exports to shield the Kwacha from copper price volatility (currently ± 19.28 ZMW/USD). Exchange rate stability requires reducing the 70%+ share of mineral exports.

02 Gradual Policy Rate Reduction

If inflation remains anchored at ~7.50%, a phased reduction of the 14.25% Policy Rate should be explored to lower the cost of borrowing for the domestic private sector and stimulate investment.

03 Accelerate Industrial Value Addition

Transition from raw ore exports to local copper processing and refining. Capturing higher margins within the industrial sector (currently 33.58% of GDP) will create domestic employment and reduce commodity revenue volatility.

04 Agriculture as a Fiscal Hedge

With agriculture at only 5.54% of GDP, strategic investment in climate-resilient farming will act as a fiscal hedge against mining sector shocks and reduce vulnerability to droughts like the 2024 event.

5. 2026 GROWTH FORECAST

Based on trend analysis models incorporating the major indicators in this report, GDP growth for 2026 is projected to stabilise between **+7.82%** (upside scenario) and **-1.95%** (downside scenario).

Upside: +7.82% Copper prices sustain near \$10K/MT; FDI flows remain elevated; inflation anchored at target.	Base: +4.5-5.8% Moderate copper prices; continued IMF programme compliance; steady agricultural recovery.	Downside: -1.95% Commodity price collapse; renewed drought; fiscal slippage on restructuring conditions.
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6. LIMITATIONS

- ▶ The 2026 forecast does not isolate the specific impact of climate-induced energy deficits on industrial consumption.
- ▶ External factors, such as shifts in global demand for green metals (EV transition copper demand), remain a variable not fully accounted for in the current growth model.
- ▶ The dataset prioritised the most economically significant indicators; additional social and governance variables may modify conclusions.

This report was prepared using World Bank World Development Indicators, IMF World Economic Outlook, Bank of Zambia monetary data, and ZCCM-IH copper production statistics. Data covers 2015–2025 with select 2026 projections.